Their. Advisors. Became. Billionaires.

THROUGHOUT THIS BOOK, I have shared many of my favorite war stories. What they all have in common is that they teach us how to manage our money better. From reviewers disliking the Beatles to the hellish trifecta a couple of chapters back, the stories range from amusing to amazing. It's a subtle psychological trick: If you find the narrative compelling, the lesson will sneak through.

This chapter tells two astonishing tales. The title hints at what happened, but the details are spectacular. They both snuck by in the summer of 2024, so you might have missed them.

The first shocker was when Bloomberg published this headline: "Secretive Dynasty Missed Out on Billions While Advisers Got Rich."[277]

Two managers of a single-family office managed to siphon off so much money that each of them became billionaires. These managers, Peter Harf and Olivier Goudet, serviced the Reimanns, a family "whose wealth stems from the 19th-century founding of German industrial-chemical maker Benckiser."

The advisors' "audacious" strategy was to build a portfolio of coffee investments in order to take on industry giant Nestlé. They spent $30 billion of the Reimann's capital, buying K-cup maker Keurig, Peet's Coffee, Krispy Kreme, Panera Bread, and Pret A Manger, along with other acquisitions. And, they paid huge premiums for each of those brands.

Bloomberg reported: "That big bet, along with other gutsy consumer wagers, has been a flop relative to their own benchmark index for success. If the Reimanns had instead invested in a low-cost fund tracking that index, they would be worth more than $50 billion."

And yet, those consumer bets "have proven highly lucrative for Harf, 78,